

1.5 Understanding external influences on business

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Standalone past-paper question bank for this topic

Each question is fully self-contained: case-study extract + data tables + question text + mark scheme answer. Print and revise without needing the original papers.

- **Total questions:** 40
- **Total marks:** 157
- **Sub-topics covered:** 5

By series:

- **Specimen SAMs:** 3 questions
- **June 2019:** 7 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 6 questions
- **June 2022:** 6 questions
- **June 2023:** 7 questions
- **June 2024:** 5 questions

1.5.1 Business stakeholders (6 questions)

Specimen SAMs · Paper 1 · Q3(c) · 5A

Explain

3 marks

Explain one possible conflict that can exist between stakeholders of a business.

MARK SCHEME ANSWER

Award 1 mark for identification of a possible conflict, plus 2 further marks for explaining why this conflict exists, up to a total of 3 marks. Conflict can exist between workers and owners (1). This is because workers typically want more pay (1), whereas owners often want to increase their profits (1). Conflict can exist between owners and suppliers (1). This is because suppliers want to be paid on time to preserve their cash flow (1), but businesses want to retain cash as long as possible (1). Accept any other appropriate response. Answers that list more than one conflict with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 6

Last Course Patisserie case study. The new head chef carried out secondary market research to identify information about the food market.

ADDITIONAL INFORMATION

Last Course Patisserie case study (relocating to new premises).

Outline one impact on a stakeholder group of Last Course Patisserie if it relocates to new premises.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an impact on a stakeholder group of Last Course Patisserie. Award a maximum of 1 mark if points are not linked. Employees (1) will be affected as they may have to travel away from Devon to work at the new location (1). The owners/shareholders (1) will be affected as the new premises will allow increased production of desserts and therefore more sales (1). Do not accept an impact that would not be appropriate for Last Course Patisserie. For example, the new premises will allow the business to compete with major brands.

CASE STUDY EXTRACT

Stand up paddleboarding is a sport which is similar to surfing but the riders use a paddle whilst standing on the board. Joe Thwaites opened Loco in 2012 as he spotted a gap in the market manufacturing stand up paddleboards (SUPs). Joe felt that he could compete using innovative designs and by changing the shape of the SUPs he made. He spent a few weeks in Fuerteventura, Spain, working with professional SUP riders where he developed designs for three Loco boards. Since then Loco has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships. Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that Loco can compete against larger manufacturers. (Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

DATA FOR QUESTION 7

Table 3 shows the interest rate paid on savings between 2014 and 2017. 2014: 1.49%; 2015: 1.40%; 2016: 1.25%; 2017: 1.00%.

State one stakeholder of Loco.

MARK SCHEME ANSWER

Award one mark for stating one stakeholder of Loco. The owner of Loco, Joe Thwaites (1). The customers who buy the SUPs (Stand up paddleboards) (1). Employees who help build and design the SUPs (1). The team riders who use the SUPs (1). Accept any other appropriate response. Do not accept a stakeholder that would not be appropriate for Loco. For example, managers of the business.

DATA FOR QUESTION 3

Figure 1 shows the cash-flow of a business from May to August. Cash inflows: May £3,000; June £5,000; July £6,000; August £5,000. Cash outflows: May £4,000; June £3,000; July £3,000; August £4,000.

Discuss how possible conflicts between owners and employees could affect the profit of a small business.

MARK SCHEME ANSWER

Indicative content: Employees and owners may disagree about working practices in the business (AO1b). Employees may put pressure on the owners for higher pay (AO1b). This will lead to lower productivity and therefore increased costs of production within the business. This could lead to lower profits in the business (AO3a). Increases in wages could lead to employees needing to be paid more which could therefore lower profit margins (AO3a). Levels: Level 0 (0) No rewardable material. Level 1 (1–2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

DATA FOR QUESTION 3

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20. February: 6,100 units; March: 7,200 units; April: 8,100 units.

Explain one disadvantage to a small business of not paying its employees on time.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage, up to a total of 3 marks. One disadvantage is that the employees will want to leave the business (1). This means the business may have to find new employees (1). This may increase the recruitment costs of the business (1). The employees may not be motivated (1). This means the productivity of the employees will fall (1). Therefore, the business may experience problems meeting customer orders (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract A: Amelia Cooper trained as a plumber six years ago. Since then she has worked for a building company that carries out repairs to houses and business premises in the Birmingham area. Amelia is now in a position where she wants to start her own plumbing business called Lili Heating Ltd. Even though there are many plumbers in the Birmingham area Amelia feels she has a unique selling point – she is a woman. Many female customers feel that they can relate more closely with a woman doing repairs in their homes. As part of her business plan, Amelia has identified some clear aims and objectives and conducted a large amount of market research using the internet. Her target market requires clear advice on what work needs to be done and how much she will charge. Amelia also thinks she can cut down on advertising costs by getting her customers to recommend Lili Heating Ltd to their friends and families. For this to happen she knows that her work must be of the highest standard. Amelia's business plan also included a wide range of financial information to help her forecast the potential success of the business and see if she would need an overdraft.

DATA FOR QUESTION 6

In order to make the business more successful, Lili Heating Ltd is considering two options: Option 1: offer a discounted price to female customers. Option 2: use social media to promote the business.

Outline one reason why the government would want Lili Heating Ltd to be successful.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a reason why the government would want Lili Heating Ltd to be successful. Award a maximum of 1 mark if points are not linked. The government will collect more tax if Lili Heating Ltd is successful (1). Taxes will be based on the profits it makes from plumbing repairs (1). The government will want more people to be employed (1). Amelia may employ more female plumbers if the business is a success (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

1.5.2 Technology and business (12 questions)

CASE STUDY EXTRACT

Extract A: Neil and Sue Chatterton own and run Meringue bakery and cafe. This is located close to a town centre and has lots of passing trade. Meringue produces high-quality bread and pastries using traditional methods and high-quality ingredients. Since opening 12 months ago sales have grown strongly. At busy times a queue builds up at the counter as customers wait to pay. Online reviews indicate that this is something that needs to improve. Neil and Sue are now planning to make greater use of technology to promote the business, and to reduce the time that customers have to wait to pay their bills. The website has been redesigned to allow customers to order their food before they arrive at the cafe. A contactless payment system will allow customers to pay securely by tapping their smart phones on a reader. Figure 2 shows a TripAdvisor review for Meringue: 'Very good but.....' Reviewed 21 October 2013. Excellent food and very friendly staff. This was our first visit and we were made to feel very welcome. Our only complaint, and the reason why we didn't award 5 stars, is due to the time it took to pay for our food when we had finished. Long queue and only one till! Took us 20 minutes...

Analyse the impact on Meringue of allowing customers to order their food online in advance.

MARK SCHEME ANSWER

Indicative content: Ordering in advance allows customers to spend less time queuing in the shop as they will not need to wait for the food to be prepared (AO2). As customers are not having to queue for as long as before, the chance of getting negative TripAdvisor reviews, such as in Figure 2, is reduced (AO2). The slow service appears to be the only negative aspect, so by addressing this, the owners are helping to meet the needs of their customers and will gain repeat purchase as a result (AO3a). This improves the convenience for customers, who are unhappy at the time it can take to queue to pay (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

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DATA FOR QUESTION 6

Last Course Patisserie case study. The new head chef carried out secondary market research to identify information about the food market.

ADDITIONAL INFORMATION

Last Course Patisserie case study. In order to increase the number of desserts that can be produced to meet the extra demand, Last Course Patisserie is considering two options: Option 1: investing in new machinery; Option 2: employing more staff.

Justify which one of these two options Last Course Patisserie should choose.

MARK SCHEME ANSWER

Indicative content: Machinery can work more quickly than employees which will increase the rate of production (AO2). Employing more staff allows Last Course Patisserie to continue using existing production methods (AO2). An increased rate of production will allow more desserts to be produced in the same amount of time. This will reduce the average costs of making each dessert. Last Course Patisserie can then decide to maintain existing price and make more profit per dessert or reduce its price to gain competitive advantage over other hand-made products (AO3a). Last Course Patisserie can be flexible when making its products because they are hand-made. If it continues to make the desserts by hand then this can be seen as a quality feature which adds value to the food (AO3a). Investing in machinery involves high initial costs. This invested may therefore be wasted because the increased demand for the desserts may not be sustainable. This could still be made comfortably by hand if there were more employees and more space (AO3b). If the business continues to expand then the use of machinery may become inevitable. If levels of demand for the new menu continue to rise then employee only production will not be able to supply the market with enough desserts (AO3b). Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues

relevant to the choice made (AO3b). Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

June 2019 · Paper 1 · Q7(a) · §C

State

1 marks

CASE STUDY EXTRACT

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion. Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition. Customer service has always been an important part of Aphrodite's success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website. A new opportunity was created when the shop premises next to Aphrodite became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this. Figure 2 shows information about interest rates that might help them when making their decision. UK Interest Rate from Jan-08 (5.00%) falling to 0.50% by Jan-09 and remaining around 0.25% until Jan-16.

DATA FOR QUESTION 7

Aphrodite case study. Table 3 shows the value of the pound (£) in euros (€) from June to September. June: 1.13; July: 1.11; August: 1.09; September: 1.14.

State one way Aphrodite could use social media.

MARK SCHEME ANSWER

Award one mark for stating one way Aphrodite could use social media. Facebook to show images of new clothing (1). Twitter could be used to provide links to a new designer (1). Social media (1). Accept any other appropriate response. Do not accept a way that would not relate to Aphrodite. For example, put an advert on Facebook.

CASE STUDY EXTRACT

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

Analyse the impact on On Your Bike of customers using social media to review the business.

MARK SCHEME ANSWER

Indicative content: It can increase the number of customers because reviews on social media platforms can be shared by other tourists when visiting London (AO2). It is difficult for the business to respond to negative reviews of the cycle rental service (AO2). As a result, tourists may now consider renting cycles after reading the reviews whereas previously they did not know that this service existed (AO3a). Therefore, even if a review is incorrect, if anyone reads it may doubt the excellent customer service offered by On Your Bike (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

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DATA FOR QUESTION 6

To expand its business in response to the growth in the cycling market, On Your Bike is considering two options: Option 1: open a second shop. Option 2: start to use e-commerce on its website.

Justify which one of these two options On Your Bike should choose.

MARK SCHEME ANSWER

Indicative content: The market is growing so there will be enough demand for a second cycle shop (AO2). E-commerce will allow a wider range of customers to have access to On Your Bike's range of cycles and clothing (AO2). On Your Bike has already had success with its first shop so it knows that the business model and strategy works. This can therefore be easily replicated in a second shop and if problems occur the business now has experience of being able to respond to these problems (AO3a). Currently the shop can only sell to people that live in London. E-commerce will allow people from all over the world to buy products from the business without On Your Bike having to invest a huge amount of money (AO3a). However, investing in a second shop involves high costs. This investment may therefore be risky because the increased demand for the bikes may not be sustainable. If the business takes out a loan to finance the second shop it will still need to repay the loan and the interest even if demand falls (AO3b). However, On Your Bike's customers may not be interested in buying products using e-commerce. They may prefer to try the bike and physically inspect the product first. Also the tourist rental business does not require e-commerce to make a purchase. They need information that can already be found on website (AO3b).

Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with

logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

CASE STUDY EXTRACT

Stand up paddleboarding is a sport which is similar to surfing but the riders use a paddle whilst standing on the board. Joe Thwaites opened Loco in 2012 as he spotted a gap in the market manufacturing stand up paddleboards (SUPs). Joe felt that he could compete using innovative designs and by changing the shape of the SUPs he made. He spent a few weeks in Fuerteventura, Spain, working with professional SUP riders where he developed designs for three Loco boards. Since then Loco has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships. Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that Loco can compete against larger manufacturers. (Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

DATA FOR QUESTION 7

Table 3 shows the interest rate paid on savings between 2014 and 2017. 2014: 1.49%; 2015: 1.40%; 2016: 1.25%; 2017: 1.00%.

ADDITIONAL INFORMATION

In order to make improvements to the business, Loco is considering two options: Option 1: introduce a digital payment system e.g. PayPal. Option 2: hold online meetings using digital communication.

Justify which one of these two options Loco should choose.

MARK SCHEME ANSWER

Indicative content: Digital payment systems make it more convenient for customers to pay for SUP products from Loco. This should therefore increase the number of potential customers (AO2). Virtual meetings will make it easier for Joe Thwaites to discuss progress with the creative talent involved in the design of the SUPs (AO2). Loco sells SUPs and surfing equipment throughout Europe. Digital payment systems will allow customers to buy the equipment 24/7. It will also allow payments to be made using different currencies. This helps to remove restrictions that would be in place if Loco only accepted traditional methods of payment (AO3a). In order to come up with the new designs of SUPs Loco had to have meetings with a wide range of people ranging from manufacturers to team riders. Virtual meetings will remove the geographical barrier of having to get all of these people in the same place (AO3a). However, digital payment systems require a lot of maintenance, so they do not become vulnerable to fraud. This, together with the costs of installing the systems, will increase the costs of Loco. Customers may also be wary of buying expensive surfing equipment because of possible security issues (AO3b). However, it is difficult to inspect and test the physical product via a virtual meeting. Loco's brand depends upon how well the product performs. This is something that cannot be done using digital communications (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be

some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Nov 2021 · Paper 1 · Q2(b) · §A

MCQ

2 marks

DATA FOR QUESTION 2

Table 1 shows the cash-flow forecast for a small business. May - Cash inflows: £12 600, Cash outflows: £8 200, Net cash flow: £4 400, Opening balance: £600, Closing balance: (i). June - Cash inflows: £13 400, Cash outflows: £9 100, Net cash flow: (ii), Opening balance: £5 000, Closing balance: £9 300.

Which two of the following are types of technology that could be used by a business?

- A. Consumer law
- B. Crowd funding
- C. Digital communication
- D. Marketing mix
- E. Payment systems

MARK SCHEME ANSWER

C - Digital communication; E - Payment systems

CASE STUDY EXTRACT

Little Movers is a business that offers preschool dance and movement classes. It also specialises in themed birthday parties and provides workshops in many local authority children centres. The business was founded in 2007 by Melanie Buck and within weeks of opening hundreds of families were attending the classes. Little Movers exceeded Melanie's expectations. She struggled to keep up with the demands of running the business and her commitment to being a mother of two young children. Melanie originally started Little Movers as she felt she could run the classes whilst her children were at school. This independence would also help her achieve a key objective of enjoying all of the school holidays with her own children. To keep up with the high levels of demand Melanie decided to expand her business through franchising. As a franchisor she believed that she could offer a proven business formula together with a wide range of support to franchisees. This included use of the Little Movers brand, being the only Little Movers franchise in a particular area, full training and a centralised online booking system. Franchisees also receive lesson plans each month for the classes. This approach proved to be highly successful. Little Movers now has franchises throughout the North of England and has recently had enquiries to open franchises in Poland and Dubai. (Source: adapted from <http://www.littlemovers.net/our-classes>)

DATA FOR QUESTION 6

Little Movers is considering two options to carry out market research for possible new franchises in Poland: Option 1: internet research to identify competitors in Poland; Option 2: conducting focus groups with parents living in Poland.

Outline one benefit to Little Movers of having an online booking system.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining a benefit to Little Movers. Award a maximum of 1 mark if points are not linked. It makes it easier to keep a track of the bookings that are being made for the dance classes (1). This will mean Little Movers has a much better understanding of which classes are successful with parents (1). It offers an additional service that they can offer potential franchisees (1). This will lead to more interest in the Little Movers franchise as they can offer franchisees help in finding customers interested in themed birthday parties (1). Award any other valid answer. To award 2 marks there must be linked development and evidence of application.

CASE STUDY EXTRACT

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing. The use of social media is something Digital Allies believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals. In February 2019, Digital Allies announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK. (Source: adapted from <https://digitalallies.co.uk>)

DATA FOR QUESTION 7

Figure 2 shows the number of social media accounts in the UK in 2019. Snapchat 14.5 million; Facebook 40 million; LinkedIn 27 million; Twitter 13.6 million; Instagram 24 million.

Using the information in Figure 2, identify which social media platform was the second largest in the UK in 2019.

MARK SCHEME ANSWER

LinkedIn

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DATA FOR QUESTION 7

Figure 2 shows the number of social media accounts in the UK in 2019. Snapchat 14.5 million; Facebook 40 million; LinkedIn 27 million; Twitter 13.6 million; Instagram 24 million.

Evaluate the impact that changes in technology may have on Digital Allies. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: If technology changes Digital Allies will need to provide training and recruit new employees with industry leading knowledge (AO1b). Changes in technology can be seen as a business opportunity for Digital Allies as its clients will need more help in understanding how digital communications can improve their marketing (AO1b). If the business wants to be one of the main digital marketing companies in the UK then it will need high quality employees with the latest technical knowledge and skills (AO2). There will be increased demand for training courses on how social media can be used because clients will be more focused on their own business activities (AO2). The business has a three year expansion strategy and will be moving to new offices. This strategy will be threatened if the employees do not understand the latest technology. Digital Allies' clients will expect them to provide them with the most up to date services. If they do not then they will get advice on digital communications from one of its competitors (AO3a). If there is an increase in demand for training courses then Digital Allies can put on additional courses or possibly charge higher prices for carrying out digital data analysis. This could help fund its expansion plans. They will also have the capacity to offer additional services because they have doubled the workforce to 40 employees (AO3a). However, Digital Allies has recently doubled its workforce to 40 employees. This will depend on whether they have been able to recruit employees with the latest skills and knowledge. As a result, any changes in technology may not affect the business as much as it would have its competitors (AO3b). However, Digital Allies operate in a very competitive market where changes in technology are happening extremely quickly. This will lead to it needing to constantly respond to change if it is to achieve its objective of being one of the leading digital marketing companies in the UK. This will depend if Digital Allies can afford constant investment and the subsequent higher costs in the business (AO3b). Levels: Level 0 No rewardable material. Level 1 (1–4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5–8): Demonstrates mostly accurate

knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

CASE STUDY EXTRACT

Extract B: In 2004, entrepreneur Mark Zuckerberg started Facebook. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, Facebook plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of \$70.1 billion. The company has used internal and external growth to expand. Between 2012 and 2020, Facebook purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, Facebook wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. Facebook believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets. In 2020 Facebook decided to give employees in its European headquarters in Dublin the option to work from home. Facebook believes that remote working will not result in lower productivity. It also believes it will allow Facebook to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. Facebook believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

DATA FOR QUESTION 7

Figure 5 shows the market share for each company in the virtual reality headset market in 2018 and 2019. Sony 2018: 42.5%, 2019: 36.5%. Facebook 2018: 19%, 2019: 28%. HTC 2018: 12.5%, 2019: 13%. Microsoft 2018: 3%, 2019: 0%. Others 2018: 21%, 2019: 21%.

Evaluate the impact on Facebook of its decision to allow its employees to use remote working from home. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: Remote working may attract talented workers to Facebook who want to work flexibly (AO1b). Remote working may lead to a feeling of isolation amongst Facebook's employees (AO1b). This is because some highly-skilled workers may not want to live in commuting distance to Facebook's European headquarters in Dublin, due to the need to move or because Dublin is an expensive area (AO2). This because working from home, coding or creating graphics or adverts for social media apps or websites, can become boring without interaction from other creative workers in a face-to-face environment (AO2). Therefore, Facebook may be able to attract the best employees from across Europe/globe who are no longer constrained by their proximity to a Facebook office. This may allow Facebook to become more creative and develop new social media platforms or ideas that can boost its competitive advantage compared to its rivals (AO3a). As a result, Facebook may suffer a lack of new ideas and a lack of creativity compared to its rivals such as Snapchat that may be better positioned to launch new apps or other products to take advantage of changing trends in the technology market (AO3a). However, remote working may cause a reduction in creativity within the company. Facebook employees may not be able to interact as easily compared to a face-to-face setting, which may reduce, rather than improve the creation of ideas. Thus, the impact on creativity depends on which employees decide to work from home and the roles they have within Facebook (AO3b). However, Facebook may be able to reduce the size of its European headquarters in Dublin. This could lead to substantial savings in fixed costs which may allow the company to fund investment in new social media apps and expansion into new markets. The extent to which this occurs, depends on what proportion of its workforce decide to work remotely from home (AO3b). Level 1 (1-4): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a).

Draws a conclusion, supported by generic assertions from limited evaluation of business information and issues (AO3b). Level 2 (5-8): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Draws a conclusion based on sound evaluation of business information and issues (AO3b). Level 3 (9-12): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Draws a valid and well-reasoned conclusion based on a thorough evaluation of business information and issues (AO3b).

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Explain

3 marks

DATA FOR QUESTION 3

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000. June: 4,300; July: 6,700; August: 6,800.

Explain one advantage to a small business from using e-commerce.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. E-commerce allows a business to sell products 24/7 (1). This is good because customers can buy products any time they have access to the internet (1). Therefore, the business may experience an increase in revenue (1). A small business may no longer need a physical retail space (1). This will lead to a reduction in fixed costs such as rent (1). This may lead to an increase in profit for the business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

1.5.3 Legislation and business (6 questions)

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. The business sold 340 units in this month. Fixed costs: £3 600; Variable costs (per unit): £9.

Which two of the following areas are covered by employment law?

- A. Consumer rights
- B. Discrimination
- C. E-commerce
- D. Health and safety
- E. Quality of products

MARK SCHEME ANSWER

B - Discrimination; D - Health and safety (2)

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business from January to April. January: £10 300, February: £9 300, March: £6 400, April: £7 200.

Discuss the impact on a small business from the introduction of new employment laws.

MARK SCHEME ANSWER

Indicative content: Legislation may increase the costs of training employees to comply with the law (AO1b). Legislation may increase the cost of wages and salaries of a business (AO1b). Therefore, employees may need to attend training courses which will cost money for travel, accommodation and training fees (AO3a). Therefore, increases in wages for apprentices, National Minimum Wage and National Living Wage could lead to employees needing to be paid more (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

DATA FOR QUESTION 3

Figure 1 shows the cash-flow of a business from May to August. Cash inflows: May £3,000; June £5,000; July £6,000; August £5,000. Cash outflows: May £4,000; June £3,000; July £3,000; August £4,000.

Explain one advantage to a small business of meeting all employment legislation.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Employees will feel that the business is taking care of them (1). This will increase their levels of motivation (1). Therefore, productivity could increase in the business (1). The business will not be prosecuted for breaking employment law (1). As a result, it will not receive any financial penalties for breaking the law (1). Therefore, the business can invest more money into projects to improve the business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

DATA FOR QUESTION 2

Table 1 contains information about a small business. Fixed costs: £10 000; Variable cost: £2.50 per unit; Selling price: £5.00 per unit; Break even level of output: 4,000 units. The business increases the selling price of its product to £6.50 per unit.

Explain one advantage to a small business of meeting its legal obligations.

MARK SCHEME ANSWER

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. A small business would not get sued for breaking the law (1). This means the business would not have to face financial consequences such as a fine (1). This will prevent the business from having a negative image (1). Employees will feel that the business is taking good care of them (1). Therefore, the business will have a more motivated workforce (1). This could lead to an increase in productivity (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Extract B: Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying Ripple to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but Ripple claims that it can supply energy cheaper than its competitors. The process of becoming a member is very simple. Firstly, Ripple will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. Ripple manages the wind farm and provides energy to each customer's home or business. Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

DATA FOR QUESTION 7

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019. 2018: Gas 39.4%, Renewables 33.3%, Nuclear 19.5%, Coal 5.0%, Oil 2.8%. 2019: Gas 40.6%, Renewables 37.1%, Nuclear 17.3%, Coal 2.2%, Oil 2.8%.

ADDITIONAL INFORMATION

In order to help small businesses, such as Ripple, become successful the UK government is considering two options: Option 1: reduce the tax paid by small businesses. Option 2: provide free training if businesses recruit new employees.

Justify which one of these two options would have the most significant impact on the success of Ripple.

MARK SCHEME ANSWER

Indicative content: Ripple provides green energy through its wind farm in South Wales. Therefore, they would have to pay less tax to the government on any profits made from production and supply of energy. (AO2). As Ripple grows it will need to employ new people in line with the government target of 220,000 new jobs in the green energy sector. As these are new jobs there will be a need for training to develop new skills. (AO2). If Ripple pays less tax to the government then it would have more retained profit to invest into the business. This could result in cheaper energy being provided to its members. As a result, Ripple may attract more investment and could then expand into other green business ideas (AO3a). Training courses can be expensive. Sending new employees on these courses would increase the costs of Ripple. Therefore, if the government pays for this training then Ripple could focus more of its members' investment into expanding the wind farm (AO3a). However, the business is owned by the customers and the main objective may not be profit maximisation. This would limit the effect that any reduction in tax would have on the business (AO3b). However, the business is located in a remote area of the country and may not need to employ many people to manage the wind farm. Therefore, they might not have enough training requirements to fully benefit from the government strategy (AO3b). Level 1 (1-3): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6): Sound application of

knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

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MCQ

2 marks

DATA FOR QUESTION 2

Table 1 contains information for a small business. Fixed costs: £7 500; Variable cost: £2 per unit; Selling price: £6 per unit; Output: 5,000 units.

Which two of the following are covered by employment law?

- A. Consumer rights
- B. Discrimination
- C. Health and safety
- D. Product quality
- E. Taxation

MARK SCHEME ANSWER

The only correct answers are B - Discrimination and C - Health and safety. A is not correct because it is a principle of consumer law. D is not correct because it is a principle of consumer law. E is not correct because it is an economic influence.

1.5.4 The economy and business (15 questions)

CASE STUDY EXTRACT

Extract B: Sally is a fitness instructor at a local sports centre (Figure 4). She is now considering setting up her own business as a personal trainer (Figure 5). Sally's research shows that people are more interested in health and fitness. Although there are a number of gyms in her local area, there are not many personal trainers. Sally has conducted some research into who her main competitors will be. A summary of the research is shown in Figure 6. Sally will charge £25 per hour. She is flexible in terms of the location of her customers and will travel within a 10-mile radius. She hopes to attract a younger market segment by using social media and online promotion. She aims to differentiate her service in a number of ways: Using social media to communicate directly with her customers, offering daily motivational reminders. Filming parts of the customer's training session and posting it online for them to evaluate their performance on their own device. Figure 6: Competitor 1: 'Vitality' personal instructor, £22 per hour, Strength: Experienced personal trainer with good local reputation, Weakness: Operates in only a small geographical area. Competitor 2: 'Bootcamp' personal trainer, £220 for an 11-session block, Strength: Ex-soldier using military training methods, Weakness: Limited number of training methods used. Sally is currently well paid and has saved up enough money to start up on her own. She is considering buying a franchise. There are a number of national franchise operators that she could use. However, she is concerned about the current economic climate. She has seen reports that unemployment is rising and that consumer incomes are falling.

DATA FOR QUESTION 7

Sally is considering whether or not to buy a franchise to start up on her own.

Outline one way in which the economic climate might impact on Sally's business.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining one impact of the economic climate on Sally's business. Award a maximum of 1 mark if points are not linked. If unemployment is rising, people will have less disposable income (1). This will mean that luxuries, such as Sally's personal trainer service, are more likely to become less popular (1). Do not accept economic factors that would not be appropriate for a personal trainer business such as Sally's, for example changes in exchange rate.

Which one of the following is a definition of an exchange rate?

- A. The flow of goods and services into a country
- B. The value of one currency in terms of another currency
- C. A tax on a particular good or service
- D. When businesses operate on an international scale

MARK SCHEME ANSWER

B - The value of one currency in terms of another currency (1)

CASE STUDY EXTRACT

Last Course Patisserie Ltd is a small private limited company based in Devon which produces hand-made desserts and puddings. The business was established in 1986. Its owners previously worked in the food industry but felt they could offer better value for money to customers. All of the desserts are made fresh to order which has provided Last Course Patisserie with a reputation for being flexible when meeting customer needs. Getting the best ingredients for the desserts is a vital part of the business. Last Course Patisserie found excellent suppliers of free range eggs and dairy products close to its business location. This means all ingredients could be delivered quickly when needed. Last Course Patisserie has recently employed a new head chef from Switzerland who has introduced a new range of products to the menu. This has proved to be very popular with customers and the business now struggles to keep up with demand. Last Course Patisserie is receiving increased orders for desserts but, due to the size of its business premises, struggles to meet this increase in demand. The owners have decided that it is the right time for Last Course Patisserie to expand and possibly relocate to new premises.

DATA FOR QUESTION 5

Last Course Patisserie has the following financial information for the month of April. Raw materials for each dessert: £0.50; Packaging for each dessert: £0.20; Fixed costs: £2 730; Selling price for each dessert: £2.00.

ADDITIONAL INFORMATION

Last Course Patisserie case study. UK consumer incomes are expected to rise over the next 10 years.

Analyse the likely impact on Last Course Patisserie of this changing level of consumer income.

MARK SCHEME ANSWER

Indicative content: People will have higher incomes and are more likely to spend this on luxury goods. This will increase the demand for the hand-made desserts (AO2). Higher consumer income will lead to increased demand in the economy. This could therefore lead to an increase in inflation which could mean the price of ingredients for the desserts may increase (AO2). This supports the plans for Last Course Patisserie to expand. The increase in recent demand for the desserts is now likely to be sustained meaning a longer term investment is less of a risk (AO3a). If suppliers increase the price of the ingredients then Voco Desserts will experience a rise in costs. This could mean they make less profit for each dessert or have to charge a higher price to their customers (AO3a). Level 1 (1-2 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

CASE STUDY EXTRACT

Aphrodite is a clothes shop that was formed in 1994 by two brothers, Andrew and Duncan McKenzie. They opened the shop because they had a lifelong enthusiasm for new fashion. Andrew and Duncan visit Paris, Milan and London each year to buy their stock. They aim to buy well-known brands, such as Stone Island and Hugo Boss, and to also stock clothes from new designers. This range of stock helps provide them with an advantage over their competition. Customer service has always been an important part of Aphrodite's success. A polite and friendly attitude greets all customers on arrival at the shop. In 2007 the business launched its website, which sells its range of clothing using e-commerce. The owners looked to maintain existing high standards of service for customers using their website. A new opportunity was created when the shop premises next to Aphrodite became available to buy. Andrew and Duncan are considering buying the shop in order to convert the two shops into one large premises. They have calculated that this will cost them £250 000 but are undecided on the best way to finance this. Figure 2 shows information about interest rates that might help them when making their decision. UK Interest Rate from Jan-08 (5.00%) falling to 0.50% by Jan-09 and remaining around 0.25% until Jan-16.

DATA FOR QUESTION 7

Aphrodite case study. Table 3 shows the value of the pound (£) in euros (€) from June to September. June: 1.13; July: 1.11; August: 1.09; September: 1.14.

Identify, from Table 3, which month was best for Aphrodite to import clothes from Paris.

MARK SCHEME ANSWER

September (1)

CASE STUDY EXTRACT

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

DATA FOR QUESTION 6

To expand its business in response to the growth in the cycling market, On Your Bike is considering two options: Option 1: open a second shop. Option 2: start to use e-commerce on its website.

Outline one impact on On Your Bike of an increase in the value of the pound.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an impact on On Your Bike. Award a maximum of 1 mark if points are not linked. If there is an increase in the value of the pound against other currencies, then imports will become cheaper (1). This will mean they may pay less for bikes made in other countries and therefore reduce costs (1). If there is an increase in the value of the pound against other currencies it will make it more expensive for foreign tourists to visit the UK (1). This will lead to a reduction in demand for On Your Bike's rental business (1). Do not accept an impact that would not be appropriate for On Your Bike. For example, exports will be more expensive if the pound strengthens.

CASE STUDY EXTRACT

Stand up paddleboarding is a sport which is similar to surfing but the riders use a paddle whilst standing on the board. Joe Thwaites opened Loco in 2012 as he spotted a gap in the market manufacturing stand up paddleboards (SUPs). Joe felt that he could compete using innovative designs and by changing the shape of the SUPs he made. He spent a few weeks in Fuerteventura, Spain, working with professional SUP riders where he developed designs for three Loco boards. Since then Loco has surrounded itself with creative talent. This includes world class SUP shapers, graphic designers and team riders, who compete in competitions using its boards. Within months of its new SUPs becoming available, one of the team went on to win the British National Championship and represent Team GB in the World Championships. Loco now sells an extensive range of SUPs, surf and kite boards throughout the UK and Europe and is ready to further extend its brand. Joe feels that the use of digital marketing using social media is vital in this growth. This combination of creative marketing and Joe's active role in the business, by offering advice to customers, has provided him with a firm belief that Loco can compete against larger manufacturers. (Source: adapted from <https://locosurfing.com/> and interview with owner 8/06/2018)

DATA FOR QUESTION 7

Table 3 shows the interest rate paid on savings between 2014 and 2017. 2014: 1.49%; 2015: 1.40%; 2016: 1.25%; 2017: 1.00%.

Using the information in Table 3, identify the best year for Loco to save any retained profit it may have.

MARK SCHEME ANSWER

2014

DATA FOR QUESTION 3

Figure 1 shows the sales revenue of a business from January to April. January: £10 300, February: £9 300, March: £6 400, April: £7 200.

Explain one disadvantage to a small business of an increase in interest rates.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage, up to a total of 3 marks.

One disadvantage is that the cost of borrowing will go up (1). This means a business will have to pay even more back if it borrows money (1). This will make it more difficult for the business to expand (1).

Customers will have less disposable income (1). This is because they may have to pay more for any new loans (1). Therefore, the level of demand will fall (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

DATA FOR QUESTION 5

Sports Tours Ltd has been organising football tours to Munich, Germany since 2010. The price of a hotel room in Munich in 2010 was EUR100. Table 2 shows the value of the pound (GBP) in euros (EUR) in June 2010 and June 2019. June 2010: 1.23 EUR per GBP. June 2019: 1.13 EUR per GBP.

Using the information in Table 2, calculate, to 2 decimal places, the price in pounds (GBP) of a hotel room in 2010. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $\text{EUR}100 / 1.23$ (1). Answer: $\text{GBP}81.30$ (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

DATA FOR QUESTION 5

Sports Tours Ltd has been organising football tours to Munich, Germany since 2010. The price of a hotel room in Munich in 2010 was EUR100. Table 2 shows the value of the pound (GBP) in euros (EUR) in June 2010 and June 2019. June 2010: 1.23 EUR per GBP. June 2019: 1.13 EUR per GBP.

ADDITIONAL INFORMATION

In 2019 the cost of a hotel room had increased to EUR130.

Using the information in Table 2, calculate, to 2 decimal places, the price in pounds (GBP) of a hotel room in 2019. You are advised to show your workings.

MARK SCHEME ANSWER

Substitution into correct formula: $\text{EUR}130 / 1.13$ (1). Answer: $\text{GBP}115.04$ (1). Award full marks for correct numerical answer without working.

CASE STUDY EXTRACT

Sports Tours Ltd was established in 1989 and is one of the leading online specialist sports tour operators in the United Kingdom. It arranges tours for teams to destinations in the United Kingdom and Europe in sports such as football, rugby, hockey and netball. The business not only organises travel, accommodation and meals, but it also arranges games and entry to tournaments for the sports team whilst on tour. Sports Tours Ltd has very high standards. It carries out full risk assessments for all tours including possible pre-tour inspection visits. Tours are licensed and authorised through official agencies. All tours have regular contact with a member of staff from Sports Tours Ltd. In recent years the business has faced increasing competition. This is not only from other sports tour operators but also from teams organising their own tours. Changing levels of consumer income and exchange rates have also had an impact on demand for tours by sports teams. Sports Tours Ltd are confident that the high level of service they offer will help them to remain competitive. However, it is always looking for more ways to add value to its business activities. (Source: adapted from <https://www.sports-tours.co.uk/about>)

DATA FOR QUESTION 6

In order to add value to its business activities Sports Tours Ltd is considering two options: Option 1: using professional sports venues for tournaments. Option 2: providing teams with top class coaching when on tour.

Outline one likely impact of changing levels of consumer income on Sports Tours Ltd.

MARK SCHEME ANSWER

Award up to 2 marks for linked points outlining an impact on Sports Tours Ltd. Award a maximum of 1 mark if points are not linked.

If there is an increase in consumer income then there will be increased demand from sports teams (1). This will mean Sports Tours Ltd could increase the range of destinations it offers for the tours (1).

If there is a decrease in consumer income then teams are more likely to stay in the UK rather than go abroad (1). This will lead to less demand for Sports Tours Ltd as teams may be confident in organising this themselves rather than using a tour operator (1).

Do not accept an impact that would not be appropriate for Sports Tours Ltd.

DATA FOR QUESTION 2

Table 1 contains information about a small business for one month. Number of sales: 2,700; Variable costs (per unit): £6; Sales price (per unit): £20; Break even level of output: 1,500.

Explain one impact on a small business of an increase in unemployment.

MARK SCHEME ANSWER

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. A business could experience a fall in demand as unemployment rises (1). This is because customers will have less money to spend if they lose their job (1). This will lead to a reduction in sales for the business (1). The business may find it easier to recruit new employees (1). This is because there will be more people trying to find a job (1). This will lead to a business finding a better quality employee for the position (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

Which one of the following is an impact of a decrease in interest rates? Select one answer.

- A. Businesses will borrow less money
- B. Customers will borrow less money
- C. Customers will borrow more money
- D. Repayments on loans should go up

MARK SCHEME ANSWER

The only correct answer is C – Customers will borrow more money. A is not correct because it is an impact of an increase in interest rates. B is not correct because it is an impact of an increase in interest rates. D is not correct because it is an impact of an increase in interest rates.

DATA FOR QUESTION 3

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000. June: 4,300; July: 6,700; August: 6,800.

Explain one disadvantage to a small business from an increase in unemployment.

MARK SCHEME ANSWER

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage, up to a total of 3 marks. One disadvantage is customers may lose their jobs (1). This means they may have less disposable income (1). This may lead to a fall in revenue (1). Employees may be worried about losing their jobs (1). This means that they may become less motivated (1). Therefore, the business may experience a fall in productivity (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

CASE STUDY EXTRACT

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend. The gym at PFC is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership. Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. PFC has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at PFC.

DATA FOR QUESTION 7

Table 3 shows the % of the local population that has a gym membership in different regions of the UK. Scotland: 15%; North east: 15%; North west: 16%; Yorkshire: 16%; East Midlands: 12%; West Midlands: 13%; Wales: 13%; South west: 10%; South east: 13%; London: 18%.

Using the information in Table 3, identify which region had the lowest level of gym membership in the UK.

MARK SCHEME ANSWER

South west.

CASE STUDY EXTRACT

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Evaluate the importance of the level of consumer income to the success of PFC. You should use the information provided as well as your knowledge of business.

MARK SCHEME ANSWER

Indicative content: If consumer incomes are high, then people may have more disposable income to spend. This may lead to them spending more money on luxuries such as gym memberships (AO1b). When consumer incomes are low then people will look to cut their spending on products and services they feel they do not need or can be substituted with something else (AO1b). The gym membership at PFC is £39 per month for unlimited visits and fitness classes. Customers may feel that this offers good value on which to spend their additional income (AO2). If consumer incomes are low, then they may consider keeping fit through more cost-effective ways such as walking or jogging. This may lead to new memberships at PFC declining (AO2). An increase in demand from consumers with high income will lead to PFC having more revenue per month. This could provide an opportunity to develop the gym further and introduce additional services such as personal training or food nutrition. These new services could lead to further success for the gym (AO3a). If the number of memberships declines then the business will struggle to maintain its current level of service. It may have to reduce the number of classes it provides to members. This may lead to the members being less loyal and going elsewhere to keep fit (AO3a). However, if spending on gym memberships rises due to high levels of consumer income, then more competitors will enter the market. Gym membership is still quite low in some regions of the UK so there may not be enough customers for a more competitive market (AO3b). However, despite the monthly fee being £39 customers may feel this offers good value for money. They may keep the membership going despite low incomes because they can go as many times as they want. If they enjoy going to the gym they may see this as a cost effective way to spend their time rather than other hobbies or interests (AO3b). Level 1 (1-4): Elements of knowledge, limited application, supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge, sound application, conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge throughout, detailed application, valid and well-reasoned conclusion based on thorough evaluation.

1.5.5 External influences (1 question)

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Identify

1 marks

CASE STUDY EXTRACT

Extract B: Ripple is an energy company aimed at providing green and renewable energy to homes and businesses across the UK. It is the country's first consumer-owned wind farm, generating green energy that does not have a damaging effect on the environment. Instead of customers paying Ripple to supply them with energy they become members of the business and buy a part of a wind farm located in a remote area of South Wales. Customers are then supplied with energy to their homes based on the amount of money they invested. The amount of money that customers can invest varies on their energy needs, but Ripple claims that it can supply energy cheaper than its competitors. The process of becoming a member is very simple. Firstly, Ripple will ask customers a few questions to identify their energy needs. It will then create a green energy plan to establish how much each customer should invest into the wind farm. Ripple manages the wind farm and provides energy to each customer's home or business. Ripple's business plan fits in with the UK government's cleaner energy strategy. This strategy includes plans for the country to have net zero carbon emissions by 2050 and to create 220,000 new jobs in the green energy sector of the economy.

DATA FOR QUESTION 7

Table 4 shows the percentage of different energy types used to produce electricity in the UK in 2018 and 2019. 2018: Gas 39.4%, Renewables 33.3%, Nuclear 19.5%, Coal 5.0%, Oil 2.8%. 2019: Gas 40.6%, Renewables 37.1%, Nuclear 17.3%, Coal 2.2%, Oil 2.8%.

Using the information in Table 4, identify which type of energy use declined the most between 2018 and 2019.

MARK SCHEME ANSWER

Coal